

NORWAY 2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

In Norway, the unemployment insurance scheme is part of the National Insurance Scheme (NIS). Unemployment benefits are calculated as a percentage of previous earnings, and are taxable. The benefit period is limited to 2 years. Social economic assistance may be granted to the individual and may cover all housing costs. In most cases, the tax unit is the individual.

A crucial factor in calculating the benefits is the "basic amount" (G). The basic amount is NOK 92 576 from 1 May 2016. Even though the year's average G is not equal to G per 1 May, we use NOK 92 576 throughout this survey.

1.1. Average Worker wage (AW)

The national currency is the Kroner (NOK). In 2016, NOK 8.40 was equal to 1 USD. In that year the average worker earned NOK 564 218 (Secretariat estimate).

2. Unemployment insurance

All persons who are either resident or working as employees in Norway are compulsorily insured under the National Insurance Scheme. Daily cash benefits during unemployment partially compensate loss of income due to unemployment.

Program name in local language		Dagpenger under arbeidsløshet
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: prior work income of NOK 138 864 in preceding calendar year or NOK 277 728 in 3 preceding years
Waiting period (days)		3 days (registered as unemployed out of last 15 work days)
Maximum duration (months)		24
Upgrading mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	62.4%
	benefit at the end of legal entitlement period in % of calculation base	62.4%
	Calculation base	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	Benefit is reduced proportionally to working time, fully withdrawn if working more than half-time
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + supplement for each child
	contract type	0
	other	0

The insured person must be a bona fide applicant for work (genuine job-seeker), i.e. capable of working and registered as an applicant with the labour and welfare service. He or she must also, at short notice and in any part of Norway, be available for any type of part- or full-time work or labour market measure that he/she is physically and mentally capable of doing.

The person concerned may be entitled to unemployment benefits even if he or she does not fully meet the availability requirement due to circumstances such as age, health or work of caring nature.

If a person is considered to be unemployed by his or her own choice, i.e. if he or she has given notice voluntarily, refused to take a suitable job, refused to participate in labour market measures, a prolonged waiting period may be imposed, or benefits may temporarily be suspended.

2.1 Conditions for receipt

A precondition for entitlement to daily cash benefits during unemployment is that the person concerned must have had an income from work of at least 1.5 times the basic amount (NOK 138 864 in 2016) the preceding calendar year or an income from work which at least equals 3 times the basic amount as an average during the three preceding calendar years (NOK 277 728 in 2016). Income from participation in labour market measures does not qualify.

2.1.1 Employment conditions

The unemployed needs to be “willing to take ... any employment ... anywhere in Norway”. “Suitable” employment is offered if possible, but what is considered suitable may change in the course of a long unemployment spell. Furthermore, high regional mobility is required of jobseekers. If warranted by age or other important social considerations related to health, responsibility for caring for small children or persons in the immediate family in need of nursing care, the member may be regarded as a “bona fide job seeker” (genuine job-seeker) even if he or she is applying for part-time work or is only seeking employment within a limited geographical area.

2.1.2 Contribution conditions

Member of the National Insurance Scheme i.e. all persons who are either resident or working as employees in Norway. The Scheme is funded by taxes and the National Budget.

2.2 Calculation of benefit amount

The calculation of daily cash benefits is based on income from work and from daily cash benefits during unemployment, sickness, maternity and adoption. The calculation basis is the highest of either the income of the last preceding calendar year or the average over the last three preceding calendar years.

2.2.1 Calculation of gross benefit

The benefit rate per day is 0.24 per cent of the calculation basis and is paid five days a week. This will normally give an annual compensation of 62.4 per cent of the calculation basis. The maximal benefit basis is 6 times the basic amount (NOK 555 456 in 2016). The maximum amount per week thus is NOK 6 666.

A supplement of NOK 17 per day (NOK 85 per week) is granted for each dependent child under the age of 18.

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Daily cash benefits are related to the reduction in working hours per week. Working hours must have been reduced by at least 50 per cent as compared to previous working hours.

2.3 Tax treatment of benefit and interaction with other benefits

Taxable as personal income, see section 10.1.2.

2.4 *Benefit duration and waiting periods*

Unemployment benefit is payable for five days a week and is granted if the person concerned has been unemployed three of the last fifteen working days while being registered at the employment office as a bona-fide applicant for work.

The benefit period varies depending on earlier income from work. Income from work amounting to at least twice the basic amount (NOK 185 152) gives a benefit period of 104 weeks. Income amounting to less than twice the basic amount gives a period of 52 weeks.

When the initial period expires, a subsequent benefit period may only be granted provided that the requirement concerning previous income from work and reduction of working hours is met (see section 2.1 and 2.2.2). If the person concerned lacks other income or benefits, he or she is entitled to social assistance.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

No special treatment.

2.5.3 *Others if applicable, including disabled*

3. *Unemployment assistance*

Jobseekers who participate in labour market programmes and who are not entitled to other benefits, are entitled to a special training allowance. The training allowance (tiltakspenger) is granted for each day they participate in the program. It amounts to NOK 257 per day for participants under 19 years, and NOK 355 for those over 19 years.

Jobseekers with training allowance can for each day they participate in the program (max 5 days a week) also receive:

- Child supplement (barnetillegg) of NOK 44 per day for each dependent child under 16 years,
- benefit to cover necessary expenses to travel of max. NOK 191 per day,
- benefit for child care, NOK 103 per day for the first child and NOK 56 per day for other children).
- Grant for living away from home, NOK 183 per day

4. Social assistance

Social Economic Assistance (SEA) is complementary to all other subsistence allowances and is provided as a last resort assistance (safety net). Municipalities are responsible for providing SEA.

There is no age condition. In practice, however, allowance is seldom given individually to children under 18 years of age due to the parents' responsibility for fostering their children according to the Children Act. Benefit amount varies due to the type of household/ family and the age of dependent children, see 4.2 below.

Program name in local language		Økonomisk stønad (Social Economic Assistance)
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	Yes
	Active job search	Yes
	Work requirement	Yes
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	Conditions may be set discretionarily
Determination of benefit levels		National and municipal
Up-rating mechanism of the benefit		...
Other supplements to basic benefit (per family)		Housing plus heating and electricity allowance
Means-test for social assistance	Earnings disregards	None
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes
	Other benefits included in the means test	All other benefits
Benefit provision (eligibility (E), generosity (G)) varies with	Age	G: + child rates increase with child age
	family situation	G: + below proportional for spouse, + proportional for each child
	over time	0
	Other	0

4.1 *Conditions for receipt*

SEA is a means-tested benefit. Only residents in Norway are entitled to SEA. The assistance may be conditional. As a basic guideline, the conditions cannot be an unreasonable burden to the claimant. The terms have to be linked to the claimant's need for help, and have the purpose of making him or her self-reliant.

Examples of conditions: if unemployed, the claimant must register as a job-seeker at the local welfare administration (NAV office) and actively search for a job, participate in labour market training courses, participate in a qualification programme etc. Another requirement may be that the claimant has to work for the municipality.

The consequence if the beneficiary does not comply with the conditions is not regulated by law. In principle, the benefit is to be withdrawn, partially or completely.

The SEA is a “top-up” benefit. The SEA may be granted in addition to all forms of income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.2 *Calculation of benefit amount*

The benefit unit is always the individual, but the resource unit is the dependent family. SEA is granted according to the local social workers' discretion. The Ministry of Labour sets governmental guidelines on reasonable amounts for subsistence allowance. The guidelines are adjusted in accordance with the rise in consumer prices with 2,5 percent in 2016. The municipalities also set local guidelines. In this report, the data for subsistence allowance is based on the governmental guidelines, while the housing allowance data is based on the guidelines of the municipality of Trondheim¹.

4.2.1 *Calculation of gross benefit*

Guidelines for subsistence allowance

Household type; NOK/month	2016
Single person	5 850
Couples (married or cohabitating)	9 750
Cohabitating, single person benefit	4 850
Children 0-5 yrs.	2 250
Children 6-10 yrs.	2 950
Children 11-17 yrs.	3 800

Guidelines for housing benefit (excl. heating/electricity)²

NOK/month	2014
Youth under 25 yrs. (single rooms, shared flats)	4 600

¹ <https://www.trondheim.kommune.no/content/1117748994/Sosialhjelpssatser-for-2015>

² For beneficiaries of social economic assistance, the housing benefit is generally set and provided by the municipality. In the event that a beneficiary of social economic assistance is also eligible for the governmental housing benefit (as described in the Housing Benefits section), the governmental benefit is included in the above (municipal) amounts. This follows from the fact that social economic assistance is a subsidiary benefit.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Single person over 25 yrs, no children (single-room flat)	5 700
Couple under 25, no children (single-room flat)	5 700
Couple over 25 (married or cohabitating), no children (two-room flat)	7 700
Any household, one child (two-room flat)	7 700
Any household with two small children or one older child (three-room flat)	9 000
Any household with three or four children (four-room flat)	11 600

Estimated heating/electricity expenses per household (NOK/year)

Estimated heating/electricity expenses as a function of household income (NOK/year)	2012
Less than 210 000	11 943
210 000 - 330 000	14 568

(2012-figures).

Source: Survey of Consumer Expenditure 2012, Statistics Norway.

4.2.1.1 Irregular additional payments

The guidelines for subsistence allowance include the most ordinary expenses in daily life: food and drink, clothing and shoes, hygienic articles, licence for television, daily newspaper, phoning expenses, expenses related to participation in leisure activities and transportation costs. Housing costs, heating/electricity, housing insurance, furniture etc., are not included but are to be considered on a concrete and individual basis. Some municipalities, among others the municipality of Trondheim, have guidelines for housing benefit. More extraordinary expenses, such as expenses related to medical assistance, dental treatment, prescription drugs, day care for children, celebrations etc., are furthermore not included in the uniform standards. Such expenses must be evaluated dependent on the specific needs of the claimant, and vary from person to person. It is not possible to indicate amounts or timing of such expenses, since these expenses vary in each individual case.

4.2.1.2 Obligations of family members

Conditions may be set for every beneficiary of SEA, as well as the spouse or other dependent family members of the benefit claimant. See examples of conditions in section 4.1.

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

SEA is withdrawn 100 per cent against all income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

4.4 *Benefit duration and waiting periods*

It is intended for temporary relief only, but currently not subject to any binding time limitation. Benefit duration varies due to differences in individual needs. Recipients can re-apply for benefits once the benefit period has expired.

In 2015, social assistance recipients received benefits for 5.2 months on average. 36 percent of the recipients received social assistance for 6 months or longer during 2015 (Statistics Norway).

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

Participation in labour market programmes is usually required.

4.5.2 *Older workers*

Not applicable.

4.5.3 *Others if applicable, including disabled*

Not applicable.

5. Housing benefits

The state housing allowance aims to secure those who have a combination of high housing costs and low income a reasonable accommodation. The allowance is offered to people living in rented and owner occupied accommodation. The benefit depends on the household's total economic resources and housing costs.

Regular housing benefits	Program name in local language		Bostøtte
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		Allowance aims to secure those who have a combination of high housing costs and low income a reasonable accommodation. The benefit depends on the household's total economic resources and housing costs. It is calculated as a percentage of the difference between housing expenses limited by a cap and an income dependent "household's own expense".
	Uprating mechanism of the benefit		Any changes in rates are considered in the budget process
	Housing related support through other benefits		Housing, heating and electricity expenses may be covered by social assistance

In 2016 the final budget appropriation for the state housing allowance was NOK 3 037 million. In the month of September 2016 a total of 101 100 households received NOK 242.5 million in housing allowance. In average per household the allowance was NOK 2 399 and the housing expenses NOK 7 510 a month. The average income of the households was NOK 127 473 a year.

5.1 Conditions for receipt

The following groups were eligible for housing allowances in 2014:

- The applicant must be 18 years or more of age, inscribed in the Norwegian National Registry and legally living in Norway. Students and people serving the military are exempt, as there are designated schemes for housing support for these groups.
- Students are, however, eligible if there are children under the age of 18 in the household.
- Applicants under 18 years of age are eligible provided they live with their own children.
- The habitation must be a permanent, year-round residence, with its own entrance and bathroom/toilet, and with facilities for cooking and sleeping..

Maximum yearly income is implicitly determined by the cap on housing expenses and the other rules for calculating the benefit. Maximum income per year for eligible households (private accommodation):

- Oslo (maximum):
 - For households with one person: NOK 221 000
 - For households with two persons: NOK 251 900
 - For households with three persons: NOK 283 200
 - For households with four persons: NOK 315 900
 - For households with five persons: NOK 350 000
- The rest of the country:
 - For households with one person: NOK 198 000
 - For households with two persons: NOK 227 445
 - For households with three persons: NOK 258 000
 - For households with four persons: NOK 289 900
 - For households with five persons: NOK 322 202

There are 14 larger cities and municipalities surrounding Oslo and Stavanger in which income limits in the range between Oslo and the rest of the country. For people living in municipal housing and for young disability pensioners the maximum income is slightly higher.

5.2 Calculation of benefit amount

5.2.1 Calculation of benefit amount

For all housing the housing allowance is calculated as 73.7 per cent of the difference between the housing expenses and a "household's own expense".

$$\text{Housing allowance} = 0.737 * (\text{housing expenses} - \text{household's own expense}).$$

The household's own expense is calculated on the basis of taxed income and wealth. 65 per cent of net taxable wealth exceeding a free amount is added to the income. For renters the free amount is NOK 250 000. For homeowners the free amount equals the tax value of the home capped at NOK 525 000.

Prior to calculation, the household's total income is divided by a sum of weights assigned to the household members. The first member is assigned the weight 1.0, and other members are assigned a weight of 0.1 each.

There is a minimum household's own expense of NOK 19 300 a year. For calculated incomes up to NOK 92 000 a year the household's own expense equals the minimum expense. For incomes over NOK 92 000, 17 per cent of the income which exceeding NOK 92 000 is added to the minimum expense. For incomes over NOK 162 000 an extra fraction of the total income is added. The fraction starts at 0.003 for incomes exceeding NOK 162 001, and is increased by 0.003 for each additional NOK 1 000 exceeded.

The maximum housing expenses, accepted for the purpose of calculating the housing allowance, are given in the table below. Between "Oslo" and "the rest of the country" there are 14 cities and municipalities where the limits of maximum housing expenses are in the range between Oslo and the rest of the country.

Number of persons in the household	Yearly housing expenses cap (NOK)	
	Oslo	Rest of the country
One	85 700	63 700
Two	93 600	71 600
Three	101 500	79 500
Four	109 400	87 400
Five or more	117 300	95 300

An example of the calculation of the housing allowance can be a family of four living in a private, rented dwelling in Oslo. The taxed income of all the members of the household is NOK 200 000 a year, the taxed net wealth are NOK 220 000 and the housing expenses are NOK 150 000 a year.

The calculated income will be NOK 153 846, given by $(\text{NOK } 200\,000 \text{ (income)} + ((\text{NOK } 220\,000 - 250\,000 = 0) * 0.65) \text{ (wealth)}) / (1 + 0.1 + 0.1 + 0.1) \text{ (personal weights)}$

The household's own expense will be NOK 29 813, given by $\text{NOK } 19\,300 \text{ (minimum expense)} + ((\text{NOK } 153\,846 - 92\,000) * 0.17)$.

The accepted housing expenses will be NOK 109 400, which is the cap on expenses in Oslo for a family of four.

And finally the housing allowance will be NOK 58 655 a year, given by $(\text{NOK } 109\,400 \text{ (housing expenses)} - \text{NOK } 29\,813 \text{ (own expense)}) * 0.737$.

5.2.2 *Income and earnings disregards*

The most recent taxed income and wealth of the household is normally used for the calculation of the allowance. If the current income or wealth differs substantially from the most recent taxation, current income and wealth may be used instead. Social assistance and family allowances are non-taxable and hence not included in the income.

5.2.3 *Costs eligible for housing benefits*

In rented housing; rent.

In cooperative and co-owned housing; rent, shared expenses, interest and down payments on housing mortgage.

In other housing; interest and down payments on housing mortgage, public taxes, land rent, maintenance costs stipulated at NOK 12 000 per year.

Old age, disability and survivor pensioners paying for heating outside of the rent, are allowed a stipulated heating cost of NOK 6 000 per year.

5.3 *Tax treatment of benefit and interaction with other benefits*

Housing benefits are non-taxable.

5.4 *Treatment of particular groups, including disabled*

For disability pensioners with disability acknowledged to have occurred before the age of twenty-four, the housing allowance is calculated more favourably. Physically disabled persons who can document higher housing costs connected to their handicap, are allowed a NOK 4 500 higher yearly housing expenses cap.

6. Family benefits**Child benefit is the most important social security benefit for families with children.**

Program name (local name in parentheses if available)			Child benefit	Supplement to child benefit for lone parents
Type of benefit			Universal	Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17	17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No
Uprating mechanism of the benefit			...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0
		Number of children	++	++
	Earnings disregard		n.a.	n.a.
	Withdrawal rate		n.a.	n.a.
	Assets part of means test?		...	...

6.1 Conditions for receipt

Child benefit is paid only to families with dependent children. Each child under the age of 18 qualifies.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit is NOK 11 640 per dependent child per year.

6.2.1.1 Irregular additional payments

None.

6.2.2 Income and earnings disregards

None.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

None.

6.4.2 Older workers

None.

6.4.3 Others if applicable, including disabled

Lone parents are entitled to child benefit for one child more than they actually have (additional child benefit). This constitutes an annual supplement of NOK 11 640. The entitlement to additional child benefit expires if the lone parent gets married, has a child with a cohabitant or has lived in a marriage-like relationship in a joint household for at least 12 of the last 18 months.

An annual supplement of NOK 7 920 is granted for lone parents entitled to full transitional benefit (see section 9.2.1), independent of the actual number of children, as long as at least one child is younger than three years old.

7. Childcare for pre-school children

Approximately 90 per cent of children aged 1-5 years had a place in ordinary kindergarten or family kindergarten in 2015. Of these, approximately 98 per cent had a place in ordinary kindergarten and about 1.8 per cent in family kindergarten. In addition so called open kindergartens (play groups for accompanied children led by kindergarten teachers) could accommodate 4 600 children. For children aged 1-2 years the kindergarten coverage is 80.7 per cent, while for children aged 3-5 years the kindergarten coverage is 96.6 per cent. Parents can choose part time child care. Around 5 percent of children in kindergarten have an agreed part time less than 41 hours per week. Compulsory schooling starts at six.

7.1 Out-of-pocket childcare fees paid by parents

7.1.1 Full-time childcare

The upper limit on childcare fees paid by parents was NOK 2 655 per month in as of July 1st 2016. Parents should not pay more than NOK 29 205 total in 2016. In addition there are discounts for siblings, these amounts to a minimum of 30 per cent for the second child and 50 per cent for the third and fourth child and so forth. Parents also receive further discounts depending on their income level, and no parents should pay more than 6 per cent of the total family income in childcare. This means that all families with an combined income lower than NOK 486 750 are entitled to reduced fees for childcare. In order to have more children from low-income families attending kindergarten from 1st of August 2015 4 and 5 year old children in families earning less than NOK 405 000 per year have access to 20 hour free core time in kindergartens.

Approx. 26 000 families pay less than the maximum fee due to their income levels in 2016. This equals less pay for about 33 300 children. 18 225 children are subject to the regulation on free core time in kindergartens. This means that 5 500 more households and 8000 more children are encompassed by reduced fees. In addition, 2150 children are exempted from payments based on municipality's local rules.

The municipalities, who have responsibility to compensate parents, grant approx. NOK 433 million to this goal. The figure also include money for free core-time which was introduced on August 1st 2015, see section 12.

7.2 Child-care benefits (the cash benefit scheme)

For one-year old children who are not in a kindergarten that receives a public grant, the parents receive a non-taxable cash amount. For children aged 13 – 23 months the monthly pay is NOK 6000. If the child attends a kindergarten (that receives a public grant) for less than 20 hours a week, the parents are entitled to receive 50 per cent of the cash benefit.

7.2.1 Conditions for receipt

The benefit is paid for children aged 1 who are not in a kindergarten that receives a public grant, or only have a part-time use of a kindergarten.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The benefit is NOK 6 000 per child per month for children aged 13-23 months when the child is not in a kindergarten that receives a public grant. For part-time use of kindergarten (that receives a public grant) of under 20 hours a week, the parents receive 50 per cent of the cash benefit, which amounts to NOK 3 000 per month. The cash benefit ceases the month in which the child turns two years old.

7.2.2.2 Income and earnings disregards

None.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

7.2.4 *Treatment of particular groups, including disabled*

None.

8. Employment-conditional benefits

None.

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

[e.g. lone parents, immigrants, part-time employees, self-employed, sick or disabled]

9. Lone-parent benefits

Lone parents are entitled to National Insurance Scheme benefits: Transitional allowance, education benefits, mobility allowance, and, when required due to professional or educational qualification activities, a supplementary child care benefit.

In addition, but not included in the National Insurance Scheme, children living with one parent or not living with either parent, may be eligible for advance payments of child maintenance.

Program name (local name in parentheses if available)			Transitional benefit for lone parents (Overgangsstønad)	Advance payments of child maintenance for lone parents (Bidragsforskott)
Type of benefit			Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		7	17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Working at least half-time	- The child is residing in Norway. - The child is not living with one of, or either of, the parents. - Collection of child maintenance is managed by the Norwegian Collection Agency.
Uprating mechanism of the benefit			...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0
		Number of children	0	++

	Earnings disregard	45% of difference between work income and NOK 46 288 disregarded	The limit for receiving the maximum payment is NOK 264 200
	Withdrawal rate	See earnings disregard	25% above basic earnings disregard, stepped up to 50% for higher incomes, until fully withdrawn at NOK NOK 489 600
	Assets part of means test?	No	No

9.1 *Transitional benefit*

9.1.1 *Conditions for receipt*

Lone parents are entitled to benefits if unmarried, divorced or separated and not living together with a person who is not the child's/children's other parent. A benefit is not granted if the single parent has had a cohabitant during 12 of the last 18 months.

After the child is one year old it is normally required that the beneficiary participates in vocational activity; e.g. employment or education which constitutes at least half of the full-time, establish their own business, or register as job-seeker.

As a general rule, transitional benefit may be granted until the youngest child attains the age of 8, but not for more than a total of 3 years after the youngest child is born. While undergoing education the benefit period may be prolonged by two years. If the beneficiary has sole care for more than two children, or become a single parent before attaining the age of 18, the benefit period can be prolonged by three years. A beneficiary who has already received one full three-year period of benefit is given benefit until the child reaches the age for the legal right to child-care when becoming a lone parent for the second time.

9.1.2 *Calculation of transitional benefit amount*

Calculation of gross benefit

Full transitional benefit is equivalent to 2.25 times the basic amount (see section 1 above), that is, NOK 208 296 in 2016, reduced by 45 per cent of wage and unemployment insurance exceeding one half of the basic amount, that is, NOK 46 288 in 2016.

The child care benefit amounts to 64 per cent of documented expenses up to a fixed maximum benefit level. If the single parent has income above 6 G (NOK 555 456 in 2016), there is no benefit granted at all. Childcare benefit may be granted up to and including the fourth school year, but can in certain cases be granted for a longer period.

Maximum child care benefit per year for lone parents in 2016:

- One child NOK 46 656.
- Two children NOK 60 888.

- At least three children NOK 68 988.

Income and earnings disregards

See above reduction of transitional allowance depending on age and income from unemployment insurance.

9.1.3 *Benefit duration*

The transitional benefit is limited to a period of three years after the birth of the youngest child, but may be extended for another two years when the lone parent engages in professional qualification (in which case a contribution towards the extra cost will be added). If the beneficiary has sole care for more than two children, or become a single parent before attaining the age of 18, the benefit period can be prolonged three years. A beneficiary who has already received one full three-year period of benefit is entitled to benefit until the child reaches the age for the legal right to child-care when becoming a lone parent for the second time.

9.2 *Advance payments of child maintenance*

9.2.1 *Conditions for receipt*

The conditions for receiving advance payments of child maintenance are that the child

- is under the age of 18
- stays and resides in Norway
- does not live together with both parents,

and the collection of child maintenance is managed by the Norwegian Collection Agency.

Advance payment of child maintenance is auxiliary to the absent parent's obligation to provide for her/his child. Advance payment of child maintenance is therefore made only in respect of months during which maintenance from the non-custodial parent is not paid, or is paid too late. However, if the amount stipulated as support from the non-custodial parent is lower than the advance payment, the difference is always paid.

Even if child maintenance has not been stipulated, advance payments are made when

- this is due to the non-custodial parent's lacking financial ability to pay support
- paternity has not been established
- the child has been adopted by a single adoptive parent
- one of the parents is dead and the child is not entitled to a child pension from the social security system or an equivalent benefit from another state.

9.2.2 *Calculation of advance payment amount*

Advance payments of child maintenance are income-tested with reference to the recipient's income. In this context, income means income from gainful occupation, extra child allowance for single supporters

and cash benefit paid in cases where other care solutions than a kindergarten (“kontantstøtte”) have been chosen.

The income-testing means that advance payments can be paid with three different rates: a standard or ordinary amount, with an enhanced amount if the recipient’s income is low, or a reduced amount if the recipient’s income is high, or are not made at all. The maximum income for being entitled to receive advance payments, and the limit for receiving full advance payments, are both fixed amounts which apply regardless of whether the recipient is a single supporter or has a spouse/partner and regardless of the number of own children in her/his own household.

Applicable income limits for receiving the maximum rate and for being entitled to advance payments the last ten years have been:

Period	Limit for receiving the maximum rate	Limit for being entitled to advance payments
As from 01.05.2006	<i>NOK 136 000</i>	<i>NOK 393 600</i>
As from 01.07.2006	<i>NOK 136 000</i>	<i>NOK 400 000</i>
As from 01.05.2007	<i>NOK 143 200</i>	<i>NOK 400 000</i>
As from 01.07.2007	<i>NOK 143 200</i>	<i>NOK 406 400</i>
As from 01.05.2008	<i>NOK 158 000</i>	<i>NOK 406 400</i>
As from 01.07.2008	<i>NOK 158 000</i>	<i>NOK 422 400</i>
As from 01.05.2009	<i>NOK 163 200</i>	<i>NOK 422 400</i>
As from 01.07.2009	<i>NOK 163 200</i>	<i>NOK 432 000</i>
As from 01.07.2010	<i>NOK 170 900</i>	<i>NOK 441 600</i>
As from 01.05.2011	<i>NOK 217 200</i>	<i>NOK 441 600</i>
As from 01.07.2011	<i>NOK 232 000</i>	<i>NOK 451 200</i>
As from 01.07.2012	<i>NOK 232 500</i>	<i>NOK 457 600</i>
As from 01.07.2013	<i>NOK 235 100</i>	<i>NOK 460 800</i>
As from 01.07.2014	<i>NOK 238 901</i>	<i>NOK 470 400</i>
As from 01.07.2015	<i>NOK 241 600</i>	<i>NOK 476 800</i>
As from 01.07.2016	<i>NOK 264 200</i>	<i>NOK 489 600</i>

As to the ordinary advance payment rate, separate limits apply for single supporters and persons living with a spouse/partner. If these income limits are exceeded, advance payments will be made with the reduced rate or, if the income exceeds the limit for being entitled to advance payments, will not be paid at all.

The income limits for receiving the ordinary advance payment rate are determined as the rates for persons receiving advance payments for one child. The limits are increased by a fixed amount for each additional child.

During the last ten years, the applicable income limits for receiving advance payments with ordinary advance payment rate, and the increase per additional child, have been:

Period	Limit for a person with spouse/partner	Limit for single supporters	Increased limit per additional child
As from 01.07.2006	<i>NOK 222 900</i>	<i>NOK 248 700</i>	<i>NOK 36 700</i>
As from 01.07.2007	<i>NOK 236 600</i>	<i>NOK 257 400</i>	<i>NOK 40 600</i>
As from 01.07.2008	<i>NOK 261 800</i>	<i>NOK 283 700</i>	<i>NOK 44 500</i>
As from 01.07.2009	<i>NOK 275 700</i>	<i>NOK 305 700</i>	<i>NOK 48 900</i>
As from 01.07.2010	<i>NOK 290 000</i>	<i>NOK 323 900</i>	<i>NOK 52 800</i>

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As from 01.07.2011	NOK 298 500	NOK 341 200	NOK 54 000
As from 01.07.2012	NOK 299 300	NOK 341 500	NOK 54 800
As from 01.07.2013	NOK 300 500	NOK 342 800	NOK 55 100
As from 01.07.2014	NOK 308 900	NOK 363 200	NOK 57 300
As from 01.07.2015	NOK 314 800	NOK 370 200	NOK 58 400
As from 01.07.2016	NOK 328 700	NOK 399 100	NOK 60 200

Payable monthly rates per child during the last ten years have been:

Period	50 % rate	75 % rate	Full rate
As from 01.07.2006	NOK 630	NOK 940	NOK 1 250
As from 01.07.2007	NOK 640	NOK 950	NOK 1 270
As from 01.07.2008	NOK 660	NOK 990	NOK 1 320
As from 01.07.2009	NOK 680	NOK 1010	NOK 1 350
	Reduced rate	Ordinary rate	Increased rate
As from 01.05.2011	NOK 690	NOK 1040	NOK 1 380
As from 01.07.2011	NOK 710	NOK 1060	NOK 1 420
As from 01.07.2012	NOK 710	NOK 1070	NOK 1 430
As from 01.07.2013	NOK 720	NOK 1080	NOK 1 440
As from 01.07.2014	NOK 730	NOK 1100	NOK 1 470
As from 01.07.2015	NOK 750	NOK 1120	NOK 1 490
As from 01.07.2016	NOK 770	NOK 1 150	NOK 1 530

From 1 July 2014, recipients of increased advance payment (single parents with lowest income) with children over 11 years of age, are allowed an addition in the advance amount by 1/3 of the ordinary amount. The additional amount is paid each month, for each child over 11 years in the household eligible for advance payments of child support.

Increased monthly amount for children over 11 years of age:

As from 01.07.2014	NOK 370
As from 01.07.2016	NOK 380

9.3 Tax treatment of benefit and interaction with other benefits

The transitional benefit is taxable as wage income. The childcare benefits, mobility allowance and advance payments of child maintenance are not subject to taxation.

9.4 Treatment of particular group

None.

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9.4.1 *Young persons*

9.4.2 *Older workers*

9.4.3 *Others if applicable, including disabled*

10. Tax system**10.1 Income tax**

The personal income tax has two tax bases: *personal income* and *ordinary income*. Personal income is defined as income from labour and pensions. Personal income is a gross income base from which no deductions are made. Ordinary income includes all types of taxable income from labour, pensions, business and capital. Certain costs and expenses, including interest paid on debt, are deductible in the computation of ordinary income.

10.1.1 Income tax schedule (central government income tax)

There are no tax allowances applicable to an AW under the central government gross tax on personal income. The tax base is personal income from which no deductions are allowed.

Rate (%)	NOK
0	0 – 159 800
0.44	159 800– 224 900
1.7	224 900 – 565 400
10.7	565 400 – 909 500
13.7	909 500 and over

In addition, as part of the overall tax rate of 25 per cent on *ordinary income*, 10.55 per cent is considered to be the central government income tax.

10.1.2 State and local income taxes

The overall tax rate on ordinary income is 25 per cent. The local government (municipal and county) income tax is 14.45 per cent points of the overall rate. Tax on ordinary income is levied after taking into account a standard allowance of NOK 51 750 (class 1) and NOK 76 250 (class 2) in 2016. Single parents are eligible to an additional special tax allowance of NOK 51 804.

10.1.3 Allowances and tax credits**10.1.3.1 Standard allowances in ordinary income**

The deductions in the computation of ordinary income are:

- Basic relief for wage income: each individual receives a minimum allowance equal to 43 per cent of wage income, with a minimum of NOK 4 000 and a maximum of NOK 91 450. For wage income each individual can choose a separate allowance of NOK 31 800 instead of the basic relief. Hence, wage earners would opt to choose this separate allowance as long as it exceeds the basic allowance to which they are entitled.
- Basic relief for pension income: each individual receives a minimum allowance equal to 29 per cent of pension income, with a minimum of NOK 4 000 and a maximum of NOK 73 600.
- Total basic relief for wage and pension income cannot exceed the maximum relief for wage income, that is NOK 91 450.

10.1.3.2 Non-standard allowances in ordinary income

The main non-standard allowances deductible from ordinary income are:

- Parent allowance: Documented expenses for child care limited to:
 - maximum NOK 25 000 for one child
 - plus NOK 15 000 for each subsequent child.

The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to the other spouse. The allowance is also applicable to single parents.

- Allowance for sole providers, NOK 51 804;
- Travel expenses related to work exceeding NOK 22 000;
- Labour union fees up to NOK 3 850;
- Donations to voluntary organisations up to NOK 25 000;
- Contributions to individual pension agreement schemes, maximum NOK 15 000;
- Premiums and contributions to occupational pension schemes in the private and public sector, unlimited;
- Unlimited deduction for interest payments.

10.1.3.3 *Standard tax credits*

- Recipients of old-age pensions from the National Insurance System are entitled to a pension income tax credit of 29 880 NOK in 2016. The tax credit is reduced with 15.3 per cent of total pension income above 184 800 NOK and 6.0 per cent of total pension income above 278 950 NOK.

10.1.3.4 *Non-standard tax credits*

- Home savings scheme (BSU): The BSU scheme aims to encourage young people (under 34 years old) to save for a future home purchase. A wastable *tax credit* of 20 per cent of annual savings up to NOK 25 000 in special accounts is granted. Total savings may not exceed NOK 300 000.

10.1.4 *Limitation on total tax payable*

None.

10.2 *Treatment of family income*

The tax unit is in most cases the individual (class 1), but joint taxation (class 2) is also possible and more favourable if one of the spouses has little or no labour income. Joint taxation means that spouses' incomes are added together and taxed jointly with a high personal allowance (NOK 76 250). Whether class 1 or 2 is more favourable, therefore depends on both spouses' incomes.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Employees' contributions to the National Insurance Scheme generally amount to 8.2 per cent of personal wage income. Employees do not make contributions if their wage income is less than NOK 49 650. Once wage income exceeds this floor, an alternative calculation is made where the contributions equal 25 per cent of the wage income in excess of the floor. The actual contributions made would represent the minimum between the alternative calculation and 8.2 per cent of the total wage income.

Contributions from the self-employed are 11.4 per cent of personal income attributable to labour.

10.3.2 Contributions payable by employers

Employer's social security contributions are due for all employees in both the private and the public sector. The contribution is geographically differentiated according to the municipality where the employee resides. The standard rates are 14.1, 10.6, 7.9, 6.4, 5.1 or 0 per cent of gross wages. The highest rate applies to central parts of southern Norway. Lower rates may apply under certain circumstances. The weighted average rate is approximately 13.0 per cent (2016).

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

11. Part-time work

11.1 Special benefit rules for part-time work

A person works part time if he/she works less than the average working week for his/her own profession. To be entitled to unemployment benefit, the person must have experienced at least a 50 per cent reduction in working time. The unemployment benefit will be reduced according to the reduction of working hours in comparison to his or her normal working hours. The benefit period for the fully and the partly unemployed has the same duration.

11.2 Special tax and social security contribution rules for part-time work

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

Transitional benefit for lone parents

As from 1st of January 2016 the following changes are come into force:

The ability to retain the benefit while living abroad changed from 6 months, to 6 weeks during a 12-month period.

Termination of matrimonial cohabitation are equated with formal separation as soon as it is brought formal proceedings for separation or divorce.

It is no longer possible to retain the right to benefits for 12 months when the single parent has a cohabitant. Entitlement to benefit will discontinue if the beneficiary lives with a common-law wife/husband.

A single parent is not entitled to transitional benefit if he or she gets a new child with the same person.

If beneficiary does not comply with the activity obligation, the transitional benefit can be stopped for one month.

If beneficiary has deliberately given false information or failed to provide information relevant to the entitlement to benefit, he or she can be excluded from entitlement to benefit as a single parent.

Childcare benefit for lone parents

As from 1st of January 2016 childcare benefit to a beneficiary that are undergoing education or is registered as a genuine jobseeker will be given by fixed rate.

Child care

As from 1st of August 2015 the municipality will grant exemption from parents for 20 hours per week for all four- and five-year olds in households with a total personal income and taxable capital under an income limit set by Parliament. The same applies to children with delayed school start.

12.2 Future policy changes announced since 1st July 2016

Social Economic Assistance

From 1. January 2017 municipalities should set conditions of activity tailored to the needs and abilities of the person and increase his or her chances of getting into ordinary work for recipients younger than 30 years. In certain situations, where there are serious reasons, exceptions can be made, e.g. serious health issues

Child-care benefits (the cash benefit scheme)

As from 1st of August 2017 the rate is increased from NOK 6 000 per child per month to NOK 7 500 per child per month.

Child care

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

As from 1st of August 2016 the municipality will grant exemption from parents for 20 hours per week for all three, four and five-year olds in households with a total personal income and taxable capital under an income limit set by Parliament, NOK 417 000 per year in 2016. The same applies to children with delayed school start.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.